Daikin Industries, Ltd. — 6367.XTKS

US HVAC price-fixing class action · deep-dive · 2026-04-15

Ticker	6367.XTKS
Issuer FIGI	BBG000BLNXT1
Market cap	USD 37,335m
Signal date	2026-04-10
Signal type	litigation_regulatory
Direction	SHORT (low conviction on mega-cap)
Score	29 / 42.5
Deep-dive date	2026-04-15

Thesis (TL;DR)

Daikin Industries (world's largest HVAC manufacturer, ≈35% US market share) was named defendant in a US putative class action filed 2026-03-20 (E.D. Mich.) alleging price-fixing of HVAC equipment from 2020-01-01 onward. Co-defendants include Daikin US subsidiaries (Comfort Tech, Applied Americas, Thermal-Netics) and [unverified] competitors. This is *NOT* the PFAS / fluorinated-chemical regulatory vector that is the typical Daikin tail; it is a fresh US antitrust matter. At USD 37bn mcap, a single-digit-% damages outcome (plausible range in tried HVAC antitrust cases: 3–6% of US revenue over the class period) is a material but not existential hit. **SHORT is low-conviction — typical US class-action headline decay is 6–12 months, and Daikin has strong operational tailwinds.**

Company context

Daikin: Japan-listed, global-#1 HVAC OEM; ~40% global residential share, ~35% US share post-Goodman acquisition (2012).

Market cap: USD 37.3bn.

Product mix: residential + commercial HVAC, chiller equipment, fluorinated chemicals (pfas-adjacent).

Prior litigation: PFAS-related environmental cases in Tennessee / Georgia ongoing; these are separate from the 2026-03 antitrust matter.

What the release actually contains

Case: putative class action filed 2026-03-20 in US District Court, Eastern District of Michigan.

Claims: alleged price-fixing of HVAC equipment from 2020-01-01 to present.

Defendants: Daikin Industries + Comfort Tech + Applied Americas + Thermal-Netics (US subsidiaries); [unverified] on co-defendants beyond Daikin group.

Daikin disclosure: TDnet 2026-04-10; standard form "notice of filing of lawsuit".

Discovery / motions timeline: typically 18–36 months from filing to trial; class certification decision 12–18 months from filing.

Thesis statement

SHORT, low conviction. US antitrust class actions against non-US OEMs follow a predictable pattern: news-day drop 1–3%, 30-day drift ±5%, and resolution (settlement or dismissal) 2–5 years out at 3–8% of implicated revenue. For Daikin, the implicated US HVAC revenue is ≈ USD 10–15bn/yr; a 5% damages midpoint = USD 0.5–0.75bn ≈ 1–2% of market cap — not needle-moving. Typical mega-cap headline decay is 6–12 months. Short is better expressed as relative to HVAC peers (Carrier, Trane, Lennox) via pair.

Catalyst map

Event	Date / Window	Entry trigger	Exit / resolution
Motion to dismiss ruling	6–12m	Dismissal granted	Cover short
Class-certification hearing	12–18m	Class certified	Short re-upped
Settlement discussions	18–36m	Settlement rumor	Cover half

Event	Date / Window	Entry trigger	Exit / resolution
Q1/Q2 2026 earnings	2026-05/08	Litigation reserve > USD 300m booked	Confirms scope
Peer filings	0–6m	Co-defendant lists expand	Validates sector-short

Steelman of the opposite view

• US class-action filing rates against foreign OEMs are high; settlement multiples are typically small fractions of the alleged damages.

• Daikin's US operations are structurally demand-led by residential HVAC replacement cycles — antitrust tail doesn't touch near-term EBITDA.

• Post-Goodman integration, Daikin operating leverage in the US is a multi-year tailwind; any dip from litigation is an entry point, not a short.

• HVAC antitrust enforcement in the US is not an active DOJ priority — private plaintiffs have a higher-friction path than DOJ criminal referrals.

• The "fluorinated chemicals" tail (PFAS) is a bigger mid-horizon risk and is NOT this filing.

Kill conditions

Kill condition	Numeric / factual threshold	Where observable
K1: motion to dismiss granted	Case dismissed at pleading stage	PACER docket
K2: reserve not recognized	1H26 earnings: no litigation provision disclosed	1H26 TDnet
K3: peer relative outperformance	CARR/TT/LII outperform Daikin by < 3% in 90d	Market data
K4: settlement at < 1% mcap	Settlement terms < USD 370m	Daikin settlement disclosure
K5: DOJ does not pick up	No criminal parallel within 12m	DOJ antitrust press

Peer comparables

• LG / Samsung 2016–2020 US washing-machine antitrust — ultimate settlements were low-single-digit % of revenue.

• Japanese auto-parts cartel (2013–2017) — larger scale; settlements up to USD 1.5bn/defendant, materially higher than HVAC comp.

• Carrier / Trane US HVAC consolidation dynamics (GREE / Midea competitive pressure).

Position sizing guidance

0.3–0.5% NAV short, paired long Carrier (CARR US) or Trane Technologies (TT US) to isolate the Daikin-specific headline effect. 90-day hold; cover on any dismissal motion granted.

Sources & traceability

• TradingView / Reuters 2026-04 — "Daikin notice regarding filing of lawsuit in United States".

• Primary: TDnet PDF https://www.release.tdnet.info/inbs/140120260410501326.pdf.

• Non_us stub: 6367_XTKS_daikin-industries-ltd-litigation-regulatory.md.